

Recommendation of the Investor as Owner Subcommittee of the SEC Investor Advisory Committee Regarding Quarterly vs. Semi-annual Reporting

The Securities and Exchange Commission (the “SEC”) has proposed a rule that would eliminate the longstanding requirement that public companies provide periodic disclosure reports to investors on a quarterly basis. Instead, public companies would be subject to a semi-annual disclosure mandate and retain the option to provide quarterly disclosure reports voluntarily (the “**Proposal**”).¹ The SEC’s Investor Advisory Committee (the “**IAC**”) recently examined this topic at its March 12, 2026 meeting in a panel discussion entitled “Public Company Disclosure Reform.”² Panelists overwhelmingly noted the structural importance of the existing quarterly reporting cadence to the U.S. capital markets and were skeptical that a semi-annual alternative would be feasible or attractive to most public companies.

In this recommendation, the IAC evaluates the policy rationale advanced by the SEC in support of the proposed shift to a semi-annual reporting mandate and considers the potential impact of the Proposal on investors.

We conclude that the SEC should not eliminate its quarterly reporting mandate for public companies, as doing so would deprive the markets of timely, material information, and thereby undermine informed investor decision making and the efficient allocation of capital among public companies.

Brief Overview of the Existing SEC Disclosure Framework

Mandatory disclosure is a central pillar of the federal securities laws and the foundation on which investor protection, capital market efficiency, and corporate accountability rest.³ Mandatory disclosure operates through three interlocking channels: it enhances the informational efficiency of securities prices, which in turn supports the efficient allocation of capital across the economy; it strengthens internal corporate governance by shaping managerial behavior through the iterative process of preparing, vetting, and certifying disclosure under threat of legal liability; and it strengthens external corporate governance by enabling monitoring of public companies by

¹ SECURITIES AND EXCHANGE COMMISSION (hereinafter, “SEC”), *Proposed Rule on Semiannual Reporting (File No. S7-2026-15)* (May 5, 2026), <https://www.sec.gov/files/rules/proposed/2026/33-11414.pdf> (hereinafter, the “Proposal”).

² The Panel Discussion was co-moderated by IAC members John Gulliver and Craig Knocke and featured the remarks of Stephen Berger of Citadel, Neil Constable of Fidelity, Robert Downes of Sullivan & Cromwell LLP, and Rick Werner of Haynes & Boones, LLP.

³ See, e.g., Jay Clayton, Chairman, U.S. Sec. & Exch. Comm’n, Remarks at Meeting of the Investor Advisory Committee (Dec. 13, 2018), <https://www.sec.gov/newsroom/speeches-statements/clayton-remarks-investor-advisory-committee-meeting-121318> (describing the SEC’s disclosure system as “powerful, far reaching, dynamic and ever evolving” and noting that “[a]s stewards of this . . . system, a key responsibility of the SEC is to ensure that the mix of information companies provide to investors facilitates well-informed decision making”).

analysts, institutional investors, proxy advisors, auditors, and other informational intermediaries.⁴ An extensive meta-analysis synthesizing more than 250 empirical studies documents positive associations between disclosure and firm-level outcomes including liquidity, cost of capital, analyst coverage and forecast precision, investor trading and portfolio choices, capital raising, and managerial efficiency.⁵

The federal securities laws give the SEC broad rulemaking authority over the form, content, and timing of most disclosures that public companies must provide.⁶ The SEC currently requires public companies to provide disclosures through quarterly reports (Form 10-Q)⁷ and annual reports (Form 10-K).⁸ The Proposal would permit public companies to provide interim disclosures through a new semi-annual reporting form, proposed Form 10-S, rather than through quarterly reports on Form 10-Q.⁹

A public company's Form 10-Q includes financial statements, management discussion and analysis of performance, disclosures about risk and legal proceedings and updates on internal controls and procedures.¹⁰ Form 10-Qs vary substantially in length depending on a company's size, industry, and complexity, and can range from approximately 20 pages to more than 100 pages.¹¹ A company's Form 10-Q generally focuses on what has changed quarter-to-quarter, whereas a Form 10-K provides a comprehensive overview of a company's business activities. A company's Form 10-K includes audited financial statements typically covering three years, a comprehensive risk factor section and more detailed disclosures of business strategy and executive compensation and corporate governance.¹² Form 10-Ks are therefore typically twice as long as a company's Form 10-Q.¹³

Form 10-Q and Form 10-K filings must comply with Regulation S-X,¹⁴ which governs the form and content of a company's financial statements, and Regulation S-K,¹⁵ which governs disclosures beyond the financial statements. Public companies are also required to disclose on

⁴ See George S. Georgiev, *Disclosure as a Corporate Governance Tool: Channels and Challenges*, in THE OXFORD HANDBOOK OF CORPORATE LAW AND GOVERNANCE (2D ED.) §§ 2.1–2.3 (Jeffrey N. Gordon & Wolf-Georg Ringe eds., 2025), <https://ssrn.com/abstract=5179523>.

⁵ See Christian Leuz & Peter D. Wysocki, *The Economics of Disclosure and Financial Reporting Regulation: Evidence and Suggestions for Future Research*, 54(2) J. ACCT. RSCH. 525, 545–51 (2016).

⁶ 15 U.S.C. § 78m.

⁷ 17 CFR § 240.13a-13.

⁸ 17 CFR § 240.13a-1.

⁹ Proposal at 7.

¹⁰ 17 CFR § 210.10-01, 17 CFR § 229.303, 17 C.F.R. § 229.105, 17 C.F.R. § 229.103, 17 C.F.R. §§ 240.13a-15.

¹¹ See, e.g., CORPORATE FINANCE INSTITUTE, *Form 10-Q: A Comprehensive Overview*, <https://corporatefinanceinstitute.com/resources/accounting/form-10-q/> (last visited May 3, 2026); Phil Mackintosh and Nicole Torskiy, *How Much Extra Work Is 10-Q Reporting*, NASDAQ (Jan. 29, 2026), <https://www.nasdaq.com/articles/how-much-extra-work-10-q-reporting>.

¹² See, e.g., Apple Inc., *Form 10-K: For the Fiscal Year Ended September 27, 2025* (Oct. 31, 2025), <https://investor.apple.com/sec-filings/sec-filings-details/default.aspx?FilingId=18880179>.

¹³ See Mackintosh and Torskiy, *supra* note 11.

¹⁴ 17 CFR § 210.10-01 *et seq.*

¹⁵ 17 CFR § 229.10 *et seq.*

Form 8-K¹⁶ specified material events, such as a major acquisition or sale of assets, leadership changes or bankruptcies, within a few days after the event.¹⁷

Policy Rationale

The Proposal is primarily based on two policy considerations. First, the SEC assumes that shifting from a quarterly reporting mandate to a semi-annual reporting mandate would address so-called “short-termism” by reducing managerial incentives to overly focus on short-term financial performance at the expense of beneficial long-term investments that may negatively impact quarterly results.¹⁸ Second, the Proposal postulates that reducing the frequency of mandatory public disclosures would substantially reduce compliance and reporting costs for public companies by decreasing the burden associated with preparing more frequent disclosure filings, including the internal resources, management attention and external service providers required to produce periodic reports and related investor communications.¹⁹ The Proposal posits that these cost reductions, in turn, could make public companies more profitable and encourage more companies to go or remain public.²⁰

Presumably, if public companies are better able to make profitable long-term investments and the cost of being a public company is lower, then investors would benefit from improved long-term performance by public companies and higher returns on their investments.²¹ Moreover, it is possible that more private companies would go public, since they would be better able to make long-term investments and the cost of being a public company would be lower.²² Shifting from a quarterly reporting mandate to a semi-annual reporting mandate could therefore expand investor opportunities in public markets by increasing the number of public companies.

It is important to note that public companies could still choose to report on a quarterly basis, potentially mooted these benefits (or costs) if all companies do so. Indeed, the possibility that public companies would choose to voluntarily disclose on a quarterly basis is often put forward as a reason why eliminating the quarterly disclosure mandate would not be a fundamental change to U.S. capital markets.²³ The SEC itself acknowledges that the overall impact of the Proposal is uncertain, as it depends on the number and type of public companies that elect to shift to semi-annual reporting and the extent to which those companies “supplement [mandatory disclosures]

¹⁶ 17 CFR § 249.308.

¹⁷ SEC, *Form 8-K: OMB Number 3235-0060* <https://www.sec.gov/files/form8-k.pdf>.

¹⁸ Proposal at 76. See also Jeremy C. Stein, *Efficient Capital Markets, Inefficient Firms: A Model of Myopic Corporate Behavior*, 104(4) THE QUARTERLY JOURNAL OF ECONOMICS 655; Arthur G. Kraft et al., *Frequent Financial Reporting and Managerial Myopia*, 93(2) THE ACCOUNTING REVIEW 249 (2018); Douglas Davis et al., *Frequent Reporting and Short-Termism: An Experimental Investigation*, 72(2) MANAGEMENT SCIENCE 783 (2025).

¹⁹ Proposal at 68. See also Matthew Kaplan et al., *The End of Quarterly Reporting in the United States*, HARVARD LAW SCHOOL FORUM ON CORPORATE GOVERNANCE (Oct. 5, 2025), <https://corpgov.law.harvard.edu/2025/10/05/the-end-of-quarterly-reporting-in-the-united-states/>.

²⁰ Proposal at 8.

²¹ Proposal at 68.

²² *Id.*

²³ See, e.g., AMERICAN BAR ASSOCIATION, *Comment Letter Re: Earning Releases and Quarterly Reports (File No. S7-26-18)* (Mar. 19, 2019), <https://www.sec.gov/comments/s7-26-18/s72618-5146853-183371.pdf>.

with voluntary disclosures.”²⁴ If semiannual reporting is utilized selectively by some companies to shield performance deficiencies or exploited by insiders to reap illicit gains, investors and the market at large will suffer the consequences.

The argument that voluntary quarterly reporting can substitute for a mandate also overlooks a fundamental adverse selection problem. Voluntary disclosure regimes tend to produce skewed information environments because firms have strong incentives to disclose information that lowers their cost of capital and, crucially, to withhold information that does not.²⁵ Accordingly, the firms with the most useful information for investors—those experiencing performance deterioration, emerging risks, or governance problems—are precisely the firms least likely to voluntarily opt in to quarterly reporting. Conversely, firms that do voluntarily report quarterly will tend to be those with positive or neutral news to share. The effect is that investor reliance on voluntary disclosure increases information asymmetry rather than reducing it,²⁶ making it harder for investors to distinguish between higher- and lower-quality firms.²⁷ This is precisely the type of selective disclosure dynamic that the federal mandatory disclosure regime was designed to prevent.

For that reason and others, institutional investors, including asset managers, pension funds and hedge funds that own the majority of U.S. public companies,²⁸ have repeatedly expressed a preference for quarterly reports, including in response to the SEC’s request for comment on this issue in 2019.²⁹ One can reasonably expect these institutional investors would encourage public companies to continue to voluntarily report on a quarterly basis through direct shareholder engagement.

As discussed in the March 12, 2026 IAC Panel, the UK and EU experiences provide insight into what can be expected to occur if the U.S. were to shift to a semi-annual disclosure mandate,

²⁴ Proposal at 67.

²⁵ See George S. Georgiev, *Too Big to Disclose: Firm Size and Materiality Blindspots in Securities Regulation*, 64 UCLA L. REV. 602, 658 (2017), <https://ssrn.com/abstract=2894538> (explaining that firms generally provide voluntary disclosure of information that will reduce their cost of capital and have discretion to “reduce [their] cost of capital by strategic disclosure of positive information only”); see also *id.* at 673 (observing that “in the absence of mandatory disclosure, companies have a score of incentives to underproduce information”).

²⁶ See *infra* note 65 and accompanying text.

²⁷ See Georgiev, *Disclosure as a Corporate Governance Tool*, *supra* note 4, at § 2.1 (explaining that without adequate disclosure investors cannot “distinguish between high- and low-quality firms, which can lead to adverse selection problems and market unraveling”).

²⁸ ORGANIZATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT, *Institutional Investor Engagement and Stewardship* (Dec. 2, 2025), <https://doi.org/10.1787/a4902cee-en>.

²⁹ See, e.g., BLACKROCK, *Comment Letter Re: Earning Releases and Quarterly Reports (File No. S7-26-18)* (Mar. 21, 2019), <https://www.sec.gov/comments/s7-26-18/s72618-5165791-183444.pdf>; COUNCIL OF INSTITUTIONAL INVESTORS, *Comment Letter Re: Earning Releases and Quarterly Reports (File No. S7-26-18)* (Mar. 21, 2019), <https://www.sec.gov/comments/s7-26-18/s72618-5189776-183593.pdf>; MANAGED FUNDS ASSOCIATION, *Comment Letter Re: Earning Releases and Quarterly Reports (File No. S7-26-18)* (Sept. 6, 2019), <https://www.sec.gov/comments/s7-26-18/s72618-6082119-191807.pdf>.

as both jurisdictions already made this shift.³⁰ Today, only 10% of the largest UK public companies by market cap voluntarily report on a quarterly basis and quarterly reporting is virtually non-existent for smaller public companies listed in the UK.³¹ In the EU, voluntary quarterly reporting is more common although it is far from ubiquitous. Approximately 60% of the largest EU-listed public companies voluntarily report on a quarterly basis and about half of smaller EU-listed public companies do so as well.³² The shift did not produce the favorable market outcomes sought by the SEC in the Proposal. According to researchers, neither the UK nor the EU market has enjoyed better valuations, better capital raising, or a healthier IPO market as the result of their voluntary quarterly reporting framework.³³ To the contrary, researchers have noted unwelcome earnings surprises, increased stock volatility, and reduced analyst coverage that counsel against a shift.³⁴

The U.S. public market is of course different from the EU and UK markets and we cannot be certain that the U.S. experience with voluntary quarterly reporting would be the same as in those jurisdictions. For example, U.S. public markets are 4-5x larger than Europe's combined listed markets and U.S. markets are more growth and tech oriented with higher valuations than European markets.³⁵ However, one important similarity is that institutional investors also hold the majority of UK public equity and a significant share of public equity across other developed European markets,³⁶ and yet a substantial share of European public companies do not voluntarily provide quarterly disclosures.³⁷ Although the SEC estimates that roughly 20% of reporting companies would change their reporting frequency if the Proposal were adopted, the Commission also acknowledges that this estimate does not account for longer-term effects or for companies that may convert over time.³⁸ It is therefore reasonable to expect that, if the Proposal were adopted, a meaningful share of U.S. public companies may not voluntarily provide quarterly disclosures.

Evaluating the Policy Rationale for a Shift to Semi-annual Reporting Mandate

If short-termism is a problem in U.S. capital markets, then it would result in slower growth of public companies and reduced profitability over time as U.S.-listed companies fail to make the

³⁰ See U.K. FINANCIAL CONDUCT AUTHORITY, *Policy Statement PS14/15: Removing the Transparency Directive's Requirement to Publish Interim Management Statements* (Nov. 2014), <https://www.fca.org.uk/publication/policy/ps14-15.pdf>; THE EUROPEAN PARLIAMENT and THE COUNCIL OF THE EUROPEAN UNION, *Directive 2013/50/EU* (Oct. 22, 2013), <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:32013L0050>.

³¹ See GOLDMAN SACHS, *Global Investment Research* (cited in *Goldman Analysis of European Firms Finds Reporting Frequency Has No Impact on Valuations*, MSN (Sept. 20, 2025), <https://www.msn.com/en-us/money/topstocks/goldman-analysis-of-european-firms-finds-reporting-frequency-has-no-impact-on-valuations/ar-AA1MYwDS>).

³² *Id.*

³³ Shivaram Rajgopal, *The SEC's Semi-Annual Reporting Proposal: A Solution in Search of a Problem*, Forbes.com (May 7, 2026), <https://www.forbes.com/sites/shivaramrajgopal/2026/05/05/the-secs-semi-annual-reporting-proposal-a-solution-in-search-of-a-problem/>.

³⁴ *Id.*

³⁵ SIFMA, *2025 Capital Markets Fact Book* (Jul. 2025), <https://www.sifma.org/wp-content/uploads/2024/07/2025-SIFMA-Capital-Markets-Factbook.pdf>.

³⁶ ORGANIZATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT, *supra* note 28.

³⁷ See GOLDMAN SACHS, *supra* note 31.

³⁸ Proposal at n. 332.

long-term investments necessary for continued growth and profitability and instead prioritize short-term results.³⁹ However, the current evidence suggests the opposite. Growth and profits at U.S.-listed public companies are at historic highs. In recent years, the gap in growth, profitability and future expectations between U.S.-listed companies and other developed markets, including the EU and UK, has only widened.⁴⁰ Indeed, U.S. public companies are now making unprecedented long-term capital investments in artificial intelligence-related infrastructure in the anticipation of future, rather than short-term, profits.⁴¹

The empirical research also does not support the premise that short-termism is a problem in U.S. capital markets. Studies examine this issue in two ways. First, by comparing long-term investment by private companies with similar public companies. The results of these studies are mixed with some finding that private companies invest more in long-term opportunities than public companies,⁴² while others find the opposite.⁴³ Studies also examine aggregate trends in long-term investment by U.S. public companies and the extent to which they return capital to investors through dividends or stock buybacks rather than invest. In general, these studies find that long-term investments by U.S. public companies are high by historical standards and capital distributions are consistent with historical norms.⁴⁴ U.S. public companies also invest more than European public companies and return less capital to shareholders.⁴⁵

Moreover, even if short-termism were a problem, it is unclear that shifting from a quarterly disclosure mandate to a semi-annual mandate would change corporate behavior. Studies of the EU and UK have had mixed results, with some finding that a shift to semi-annual reporting increased

³⁹ See, e.g., Mark J. Roe, *Stock Market Short-Termism's Impact*, ECGI Working Paper No. 426/2018 (Aug. 2020), https://www.ecgi.global/sites/default/files/working_papers/documents/roefinal.pdf.

⁴⁰ See, e.g., SIFMA, *supra* note 35; Daniela Hathorn, *US vs Europe: A Widening Performance Gap Driven by Fundamentals*, Capital.com (Apr. 29, 2026), <https://capital.com/en-int/analysis/us-vs-europe-a-widening-performance-gap-driven-by-fundamentals>.

⁴¹ Karen Weise, *A.I. Spending Sets a Record, With No End in Sight*, N.Y. TIMES (Apr. 29, 2026), <https://www.nytimes.com/2026/04/29/technology/ai-spending-tech-data-centers.html>.

⁴² See, e.g., John Asker et al., *Corporate Investment and Stock Market Listing: A Puzzle*, 28(2) REVIEW OF FINANCIAL STUDIES 342 (2015).

⁴³ See, e.g., Naomi Feldman et al., *Investment Differences Between Public and Private Firms: Evidence from U.S. Tax Returns*, 196 JOURNAL OF PUBLIC ECONOMICS 104370 (2021); Olga Bogachek et al., *Does Stock Market Listing Really Constrain Corporate Investment: Why US and EU Results Appear to be Different*, 53(2) JOURNAL OF BUSINESS FINANCE & ACCOUNTING 896 (2026).

⁴⁴ For a comprehensive overview of the literature on this topic, see Hal S. Scott & John Gulliver, *Reforming U.S. Capital Markets to Promote Economic Growth* at 41-43, 66-67, COMMITTEE ON CAPITAL MARKETS REGULATION (May 2020), <https://ssrn.com/abstract=3619023>.

⁴⁵ See, e.g., Massimo Giordano et al., *Investment: Taking the Pulse of European Competitiveness*, MCKINSEY GLOBAL INSTITUTE (Jun. 20, 2024), <https://www.mckinsey.com/mgi/our-research/investment-taking-the-pulse-of-european-competitiveness>; Daniele Muller, *Companies Worldwide Increase their Spending on Research and Development – Switzerland Ranks Sixth Globally*, ERNST & YOUNG (Jun. 18, 2025), https://www.ey.com/en_ch/newsroom/2025/06/companies-worldwide-increase-their-spending-on-research-and-development-switzerland-ranks-sixth-globally; Fernando Luque, *For Returns in European Stock Markets, Dividends Matter*, MORNINGSTAR (Sept. 19, 2025), <https://global.morningstar.com/en-gb/markets/returns-european-stock-markets-dividends-matter>.

long-term investment,⁴⁶ while others find no effect.⁴⁷ Further, a recent study using historical U.S. and EU data suggests that more frequent reporting may improve the quality of corporate investment decisions even apart from its effect on the overall level of investment.⁴⁸

The cost-reduction premise underlying the Proposal is also poorly substantiated by the empirical record. Although shifting from a quarterly disclosure mandate to a semi-annual mandate would reduce the *direct* public disclosure filing costs for public companies,⁴⁹ the Proposal itself estimates that the approximate net reduction in direct compliance costs would be only \$198,000 per fiscal year for each issuer that switches to semi-annual reporting.⁵⁰ Public companies would still need to maintain accurate financial information as part of their ordinary operations, including for purposes of day-to-day business management.⁵¹ As a result, the costs associated with maintaining complete, accurate and reliable financial information would remain even without a quarterly disclosure mandate.

Moreover, the premise that the compliance cost burden of being a public company deters firms from going public has been undermined by empirical work, which found that the observed declines in IPO activity have been driven by demand-side and market-structure factors rather than by the cost of disclosure compliance.⁵² Compounding these issues, various concerns about the SEC's ability to estimate in advance the costs and benefits of proposed disclosure rules have been

⁴⁶ See, e.g., Jurgen Ernstberger et al., *The Real Effects of Mandatory Quarterly Reporting*, 92(5) THE ACCOUNTING REVIEW 33 (2017).

⁴⁷ See, e.g., Suresh Nallareddy et al., *Consequences of More Frequent Reporting: The U.K. Experience*, 6(1) JOURNAL OF LAW, FINANCE AND ACCOUNTING 51 (2021); Robert Pozen et al., *Impact of Reporting Frequency on UK Public Companies*, CFA INSTITUTE RESEARCH FOUNDATION (Mar. 2017), <https://rpc.cfainstitute.org/sites/default/files/-/media/documents/article/rf-brief/rfbr-v3-n1-1-pdf.pdf>.

⁴⁸ Stephen A. Hillegeist et al., *More Frequent Financial Reporting and Market Feedback Effect: Evidence from U.S. and EU Regulatory Changes*, JOURNAL OF ACCOUNTING AND PUBLIC POLICY (Forthcoming), <https://dx.doi.org/10.2139/ssrn.5159051>.

⁴⁹ Proposal at 125-27.

⁵⁰ *Id.* at 105-6.

⁵¹ See Edmund W. Kitch, *The Theory and Practice of Securities Disclosure*, 61 BROOK. L. REV. 763, 775-76 (1995) (noting that “since management needs to collect and organize the same information in order to manage the business, the cost of requiring the additional step of disclosing it is small”).

⁵² See Robert P. Bartlett III, Paul Rose & Steven Davidoff Solomon, *The Small IPO and the Investing Preferences of Mutual Funds*, 47 J. CORP. FIN. 151 (2017) (showing that the decline in small-firm IPOs started in 1998 and is attributable to a decrease in demand by institutional investors and not to supply-side factors such as public company compliance costs); Paul Rose & Steven Davidoff Solomon, *Where Have All the IPOs Gone: The Hard Life of the Small IPO*, 6 HARV. BUS. L. REV. 83 (2016) (finding that “market forces independent of regulation are likely to explain almost the entire decline [in small IPOs]”); Xiaohui Gao, Jay R. Ritter & Zhongyan Zhu, *Where Have All the IPOs Gone?*, 48 J. FIN. & QUANT. ANALYSIS 1663 (2013) (rejecting a “regulatory overreach” hypothesis for the decline in the number of small-firm IPOs in favor of an “economies of scope” hypothesis that focuses on the advantages enjoyed by large firms).

raised by both academic commentators⁵³ and courts.⁵⁴ Finally, to the extent the UK experience is instructive, a shift to semi-annual reporting could result in the loss of analyst coverage and trigger a reduction in investment capital that exceeds any savings gained.

The Impact on Investors from Eliminating Mandatory Quarterly Reporting

Although the benefits of a shift away from mandatory quarterly reporting are uncertain at best,⁵⁵ the potential costs and risks for investors are clear.

Today, the material financial and non-financial information provided in quarterly reports provides investors an opportunity to reallocate capital among public companies based on changes in performance or outlook every three months. Indeed, studies document a significant increase in trading volume in the days following quarterly earnings announcements,⁵⁶ indicating that both retail and institutional investors actively respond to these disclosures.

By eliminating a quarterly reporting mandate, investors would have fewer opportunities per year to reallocate positions based on standardized updates on company performance and outlook, including financial statements. Quarterly reports are particularly important to fund managers, who rely on timely financial information to evaluate the performance, financial condition, and relative risk and reward of portfolio companies.⁵⁷ In practice, eliminating a quarterly reporting mandate will likely mean that investors remain invested in poorer performing companies or companies with diminished outlooks for longer than they would today. Investors would have to wait longer to reallocate their capital to better-performing companies or companies with a more promising outlook. This reduction in the frequency of standardized material information could therefore negatively affect returns for investors.⁵⁸

The potential negative impact would be particularly high for retail investors, who rely on quarterly financial disclosures and lack direct access to public company management and other costly proprietary data sources that can provide insight into public company performance or

⁵³ See, e.g., Georgiev, *Disclosure as a Corporate Governance Tool*, *supra* note 4, § 5.7 (suggesting that cost-based justifications for disclosure cutbacks tend to enjoy an evidentiary advantage that does not reflect actual welfare consequences because “the benefits [of disclosure] are diffused among a heterogenous body of investors, their timing is difficult to predict, and market complexities make their magnitude near-impossible to estimate,” whereas firms can readily “provide regulators with generally plausible estimates of the marginal compliance burden of any regulatory change”); see also Jeffrey N. Gordon, *The Empty Call for Benefit-Cost Analysis in Financial Regulation*, 43 J. LEGAL STUD. 351 (2014); John C. Coates IV, *Cost-Benefit Analysis of Financial Regulation: Case Studies and Implications*, 124 YALE L.J. 882 (2015).

⁵⁴ See, e.g., Chamber of Com. of the U.S. v. SEC, 85 F.4th 760 (5th Cir. 2023) (holding that “the SEC acted arbitrarily and capriciously, in violation of the Administrative Procedure Act, when it failed to respond to petitioners’ comments and failed to conduct a proper cost-benefit analysis”).

⁵⁵ See, e.g., Nallareddy et al., *supra* note 47; Pozen et al., *supra* note 47.

⁵⁶ See, e.g., Linda Smith Bamber, *Unexpected Earnings, Firm Size, and Trading Volume Around Quarterly Earnings Announcements*, 62(3) AMERICAN ACCOUNTING ASSOCIATION 510 (1987); Wayne R. Landsman and Edward L. Maydew, *Has the Information Content of Quarterly Earnings Announcements Declined in the Past Three Decades*, 40(3) JOURNAL OF ACCOUNTING RESEARCH 797 (2002).

⁵⁷ INVESTMENT COMPANY INSTITUTE, *Comment Letter Re: Earning Releases and Quarterly Reports (File No. S7-26-18)* (Mar. 21, 2019), <https://www.sec.gov/comments/s7-26-18/s72618-5164794-183439.pdf>.

⁵⁸ Proposal at 132.

outlook.⁵⁹ Indeed, the Proposal acknowledges that longer gaps between issuer disclosures may widen informational disparities among investors because some investors are better able than others to access and process alternative sources of information regarding company performance and financial condition.⁶⁰ These disparities may also create broader negative externalities for U.S. capital markets, including diminished perceptions of fairness, erosion of trust and reduced participation.⁶¹

Moreover, as passive funds accounted for 55% of the U.S. fund market in 2025,⁶² the growth of passive investing underscores the importance of timely standardized disclosures. The success of passive investing depends on active, fundamentally driven investors incorporating material information into market prices.⁶³ Therefore, depriving active investors of standardized quarterly financial information would therefore harm not only active managers, but also the millions of retail investors whose index-fund returns depend on efficient price discovery.

Less efficient allocation of capital across companies may also negatively impact the growth of well-performing public companies. Positive quarterly earnings news is typically associated with increases in a company's stock price, which can lower its cost of capital and facilitate external financing, thereby enabling additional investment and growth. If a public company instead reports only semi-annually, this opportunity to raise capital at a lower cost would be delayed, as would the company's ability to invest that capital for future growth.⁶⁴

An extensive body of research shows that reducing the frequency of mandatory public company disclosures negatively impacts investors. Studies find that less frequent reporting increases information asymmetry, which in turn leads to higher trading costs, reduced market liquidity, and a higher cost of capital for public companies.⁶⁵ Companies reporting quarterly also

⁵⁹ See, e.g., WALLSTREETBETS, *Comment Letter Re: Semiannual Reporting (File No. S7-2026-15)* (May 12, 2026), <https://www.sec.gov/comments/S7-2026-15/s7202615-775527-2368994.html>.

⁶⁰ Proposal at 72.

⁶¹ *Id.*

⁶² Raymond Kerzerho, *The Passive vs. Active Fund Monitor*, PWL CAPITAL (2026), https://pwlcapital.com/wp-content/uploads/2026/04/YearEnd2025_The-Passive-vs-Active-Fund-Monitor_en.pdf.

⁶³ See, e.g., Russ Wermers and Tong Yao, *Active vs. Passive Investing and the Efficiency of Individual Stock Prices*, UCLA ANDERSON SCHOOL OF MANAGEMENT (May 2010), https://www.anderson.ucla.edu/documents/areas/fac/finance/passive201005_rw.pdf; Josh Nelson, *Myths and Misconceptions in the Active vs. Passive Debate*, T. ROWE PRICE (Dec. 2022), <https://www.troweprice.com/content/dam/trp-ecl/global/en/ipc/assets/us-investment-professional-only/2022/december/myths-and-misconceptions-in-the-active-vs-passive-debate-id0005540/Myths-and-Misconceptions-in-the-Active-vs-Passive-Debate.pdf>.

⁶⁴ *Id.* at 73.

⁶⁵ See, e.g., Renhui Fu et al., *Financial Reporting Frequency, Information Asymmetry, and the Cost of Equity*, 54 JOURNAL OF ACCOUNTING & ECONOMICS 132 (2012); Xiaofei Zhao, *Does Information Intensity Matter for Stock Returns? Evidence from Form 8-K Filings*, 63(5) MANAGEMENT SCIENCE 1382 (2017); Tobias Bornemann et al., *The Consequences of Abandoning the Quarterly Reporting Mandate in the Prime Market Segment*, 34 EUROPEAN ACCOUNTING REVIEW 89 (2025); Robert Stoumbos, *The Growth of Information Asymmetry Between Earnings Announcements and Its Implications for Reporting Frequency*, 69 (3) MANAGEMENT SCIENCE 1901 (2023); Robert Stoumbos, *How Does More Frequent Reporting Reduce Information Asymmetry*, COLUMBIA BUSINESS SCHOOL (Working Paper), <https://dx.doi.org/10.2139/ssrn.3008708>.

attract greater analyst coverage,⁶⁶ which in turn is associated with enhanced liquidity and lower cost of capital for those firms.⁶⁷

Empirical studies also indicate that reduced frequency of disclosures harms price efficiency and valuation through two related channels. First, when firms report only semiannually, investors rely on information provided by peer-firms, often overreacting to those signals and leading to over or under valuation of public companies.⁶⁸ Second, less frequent reporting reduces cross-firm comparability, making it harder for investors to assess relative performance and industry conditions.⁶⁹

A shift to semi-annual reporting would also increase insider-trading concerns because more frequent disclosure reduces insiders' ability to profit from nonpublic information. By extending the interval between mandatory reports, semi-annual reporting would widen the gap between inside and public information, increasing the risk that insiders could trade while possessing material information not yet available to the market.⁷⁰ The Proposal acknowledges this heightened risk and suggests that it may warrant longer blackout periods, as the value of material non-public information and the potential for misuse would be higher.⁷¹ A shift to semi-annual reporting would also weaken corporate accountability.⁷² For example, poor quarterly results present corporate management with market discipline that can help them make necessary business changes to improve future returns. Shifting to semi-annual disclosures would therefore reduce market discipline.

Recommendation

In conclusion, the policy rationale for the Proposal is primarily based on concerns regarding “short-termism” and lowering costs for public companies. However, the evidence does not support the view that short-termism is a major problem for U.S. public companies today, nor is there strong evidence to support the view that costs for public companies would be significantly reduced by a shift to a semi-annual mandate. On the contrary, the evidence indicates that a shift to a semi-annual disclosure mandate would reduce the ability of investors to make informed

⁶⁶ Proposal at 75. *See also* Pozen et al., *supra* note 47.

⁶⁷ *See, e.g.,* Darren T. Roulstone, *Analyst Following and Market Liquidity*, 20 CONTEMPORARY ACCOUNTING RESEARCH 552 (2003); Konan Chan et al., *Organization Capital and Analyst Coverage*, 69 JOURNAL OF EMPIRICAL FINANCE 81 (2022).

⁶⁸ *See* Salman Arif and Emmanuel T. De George, *The Dark Side of Low Financial Reporting Frequency: Investors' Reliance on Alternative Sources of Earnings News and Excessive Information Spillovers*, 95(6) THE ACCOUNTING REVIEW 23 (2020).

⁶⁹ *See* Jesper Haga et al., *Peer Firms' Reporting Frequency and Stock Price Synchronicity: European Evidence*, 49 JOURNAL OF INTERNATIONAL ACCOUNTING, AUDITING AND TAXATION 100505 (2022).

⁷⁰ *See, e.g.,* Stanley Baiman and Robert E. Verrecchia, *The Relation among Capital Markets, Financial Disclosure, Production Efficiency, and Insider Trading*, 34(1) JOURNAL OF ACCOUNTING RESEARCH 1 (1996); Bright Gershion Godigbe and Patrick Kwashie Akorsu, *Does Mandatory Disclosure Deter Insider Trading*, SSRN Working Paper (Mar. 21, 2014), <https://ssrn.com/abstract=4767299>; Robert C. Pozen and Mark J. Roe, *Those Short-Sighted Attacks on Quarterly Earnings*, HARVARD LAW SCHOOL FORUM ON CORPORATE GOVERNANCE (Oct. 8, 2015), <https://corpgov.law.harvard.edu/2015/10/08/those-short-sighted-attacks-on-quarterly-earnings/>.

⁷¹ *See* Proposal at 114.

⁷² *Id.*

decisions, increase trading costs and increase the cost of capital for public companies. Indeed, retail investors are most likely to be negatively impacted as they primarily rely on quarterly disclosures, as they lack direct access to public company management or other sources of proprietary data. For these reasons, the IAC does not favor the SEC proposal. We recommend that the SEC retain quarterly reporting requirements for public companies.